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IPO Research Note

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Ticker: SPCX (Nasdaq)

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SpaceX (SPCX)

The largest IPO in history prices tomorrow. Here is what the numbers actually say.

IPO Price \$135/share	Valuation \$1.75 Trillion	Proceeds \$75 Billion	Exchange Nasdaq (SPCX)
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EXECUTIVE SUMMARY

SpaceX is pricing its IPO tonight at \$135 per share for a \$1.75 trillion valuation, making it the largest IPO in stock market history by a significant margin. The company is not a rocket business. It is a three-segment conglomerate comprising Starlink, the dominant global satellite internet provider; a commercial launch operation; and an AI platform built around xAI, Grok, and X. Each segment is at a completely different stage of maturity, which makes valuing the consolidated entity one of the more analytically complex exercises in recent market history.

The bull case rests almost entirely on Starlink. The connectivity segment generated \$11.4 billion in revenue in 2025 at a 63% EBITDA margin, growing 48% year over year, and had 10.3 million subscribers as of March 2026. That is the business investors are actually buying. Everything else, the launch business and the AI segment, is currently burning cash. The question is whether Starlink's earnings power is worth \$1.75 trillion on its own, and whether xAI and Starship represent optionality worth paying for at this valuation.

FINANCIAL OVERVIEW

Metric	FY2024	FY2025	YoY Growth	Q1 2026
Total Revenue	\$14.0B	\$18.7B	+33%	\$4.7B
Starlink Revenue	\$7.7B	\$11.4B	+48%	\$3.3B
Space Segment Revenue	\$3.5B	\$4.1B	+17%	\$619M
AI Segment Revenue	N/A	\$3.2B	N/A	\$818M
Adj. EBITDA	\$3.5B	\$6.6B	+89%	\$1.1B
Starlink Adj. EBITDA	\$3.8B	\$7.2B	+89%	\$2.1B
Net Loss (GAAP)	(\$1.0B)	(\$4.9B)	N/M	(\$1.9B)
Starlink Subscribers	4.6M	9.0M+	+96%	10.3M

The headline numbers require context. SpaceX reported a \$4.9 billion GAAP net loss in 2025 on \$18.7 billion in revenue. That loss is almost entirely driven by the AI segment, which burned \$6.4 billion in operating losses in 2025 following the xAI merger. Strip out the AI segment and the core Starlink plus launch business was close to breakeven on a GAAP basis, with Starlink generating \$4.4 billion in operating profit while Space absorbed \$2.5 billion in losses tied to Starship development.

GAAP profitability is not expected until 2027 or 2028 by the banking syndicate's estimates. The path to profitability runs through Starlink scaling to 15 to 20 million subscribers and Starship achieving commercial launch cadence, which would dramatically reduce per-kilogram-to-orbit costs and make the Space segment profitable.

SEGMENT ANALYSIS

Segment	FY2025 Revenue	FY2025 Op. Income	EBITDA Margin	Key Driver
Connectivity (Starlink)	\$11.4B	\$4.4B	63%	Subscriber growth
Space (Falcon/Starship)	\$4.1B	(\$2.5B)	Negative	Launch cadence
AI (xAI, Grok, X)	\$3.2B	(\$6.4B)	Negative	xAI compute scale

Connectivity (Starlink): This is the anchor. \$11.4 billion in 2025 revenue, 63% EBITDA margin, 10.3 million subscribers across 164 countries, growing at nearly 100% per year in subscribers. Starlink has no comparable peer in satellite internet. AST SpaceMobile is years behind in scale and OneWeb has struggled commercially. The tiered pricing model, from \$120 per month consumer broadband to \$5,000 per month maritime and enterprise, gives Starlink meaningful ARPU expansion runway. Government and defense contracts through Starshield add a durable, high-margin revenue stream that is underdisclosed in the S-1 but estimated at \$1.8 billion in 2025.

Space (Falcon 9 / Starship): Falcon 9 holds roughly 90% of the global commercial launch market by mass to orbit and completed 130 launches in 2025. The segment generated \$4.1 billion in revenue but an operating loss of \$2.5 billion, entirely attributable to Starship development spending of over \$15 billion cumulatively. Starship represents the most significant potential value creation event in the company's history. A successful commercial Starship at full cadence would reduce cost to orbit by an order of magnitude and redefine the economics of the entire segment. It is also the single largest execution risk in the company.

AI (xAI / Grok / X): This is the most complicated segment and the largest source of investor skepticism. xAI was merged into SpaceX in February 2026. The segment generated \$3.2 billion in revenue in 2025 but an operating loss of \$6.4 billion, making it the primary reason SpaceX is reporting GAAP losses. X advertising revenue declined by \$100 million in Q1 2026 and remains under pressure. The bull case here is that Grok, Colossus supercomputing, and X's data distribution create a vertically integrated AI platform that justifies the burn. The bear case is that SpaceX overpaid for a struggling social media platform and a speculative AI business at exactly the wrong point in the interest rate cycle.

VALUATION

Metric	SpaceX (SPCX)	Tesla (TSLA)	Nvidia (NVDA)	Meta (META)
IPO / Market Cap	\$1.75T	\$1.1T	\$3.2T	\$1.5T
EV/Revenue (2025)	94x	8x	34x	10x
EV/EBITDA (2025)	266x	45x	52x	22x
Revenue Growth (YoY)	+33%	+2%	+114%	+19%
GAAP Profitable?	No	Yes	Yes	Yes

At \$135 per share, SpaceX is priced at 94 times 2025 revenue and 266 times 2025 adjusted EBITDA. Those multiples are not defensible on a traditional basis. They only make sense if you believe two things: that Starlink will scale to 30 to 50 million subscribers over the next five years and that Starship will dramatically change the unit economics of the Space segment. On a sum of the parts basis, Starlink alone could plausibly be worth \$800 billion to \$1.2 trillion if you apply a SaaS-style multiple to its 63% EBITDA margin and 48% revenue growth. That leaves the market paying \$500 billion to \$950 billion for the Space and AI segments combined, which is where the valuation debate lives.

The most relevant comparable is not Tesla or Nvidia but Amazon Web Services in 2010, a capital-intensive infrastructure business with a dominant market position, no near-term profitability, and a total addressable market that was genuinely difficult to size. SpaceX claims a \$28.5 trillion TAM across space, connectivity, and AI. The question is not whether the TAM is real but whether SpaceX can capture enough of it to justify paying 94 times revenue today.

INDEX INCLUSION TRADE

This is the most underappreciated technical aspect of the SpaceX IPO. At \$1.75 trillion, SPCX would immediately be one of the largest companies in the world by market cap. If it meets float-adjusted eligibility criteria, fast-track inclusion into the Nasdaq-100 could occur as soon as 15 trading days post-IPO under standard index procedures. QQQ has approximately \$340 billion in assets under management. An SPCX weight of even 3 to 5% would require passive funds to mechanically buy \$10 to \$17 billion in stock regardless of their view on valuation. S&P 500 inclusion follows its own eligibility timeline, including a profitability requirement that SpaceX does not currently meet, so S&P inclusion is likely 2027 at the earliest. The Nasdaq-100 inclusion trade is the near-term catalyst worth pricing in.

KEY RISKS

- **Elon Musk concentration risk:** The S-1 explicitly identifies Musk as a key man risk. His involvement with Tesla, xAI, and political activities creates headline and execution distraction risk that is difficult to quantify but genuinely present.
- **Starship execution:** SpaceX has spent over \$15 billion on Starship development. Three consecutive test failures in 2025 preceded successful flights in August and October. A return to failure would call into question the Space segment's path to profitability and the entire long-term thesis.
- **xAI burn rate:** The AI segment's capital expenditure run rate is accelerating. Q1 2026 AI capex was \$7.7 billion alone, annualizing at over \$30 billion per year. Starlink's profits are currently subsidizing xAI's losses. If AI monetization does not materialize, the drag on the consolidated business intensifies significantly.
- **Rate environment:** At 94 times revenue, SPCX is an extremely long duration asset. The current market environment, with the 30Y Treasury above 5.00% and markets pricing a 70% probability of a December Fed rate hike, is precisely the environment in which long-duration growth multiples compress. This is not company-specific risk but it is the most immediate market risk.
- **Lock-up expiration:** With only 3% initial float, the lock-up expiration in six months will be the first real test of whether institutional holders want to stay in at these levels. A disorderly lock-up expiration would be materially negative for the stock.
- **Regulatory and geopolitical risk:** Starlink's government contracts and operations in contested geopolitical environments, combined with Musk's political profile, create regulatory risk across multiple jurisdictions.

BULL / BASE / BEAR SCENARIOS

Scenario	Probability	12M Price Target	Key Assumption
Bull Case	30%	\$180 (\$2.33T)	Starlink hits 15M subs, Starship commercial ops begin, QQQ inclusion drives passive buying
Base Case	45%	\$135 (\$1.75T)	Starlink sustains 30% growth, xAI losses stabilize, no index inclusion in 2026
Bear Case	25%	\$85 (\$1.10T)	xAI burn accelerates, Starship delays, rate hike environment compresses growth multiples

CONCLUSION

SpaceX is a genuine generational company going public at a generational valuation. Starlink is one of the best businesses in the world by unit economics, and Starship represents a potential step change in the economics of space access that no other company is close to replicating. Those facts are not in dispute.

The simple way to frame the investment is this: you are paying \$1.75 trillion for Starlink's cash flows plus two very expensive bets on the future. Starlink's profits are currently funding Starship development and xAI's buildout. If both bets pay off, the losses today look like brilliant long-term capital allocation. If either one fails, Starlink's profits get eaten by a money pit and the valuation has no floor.

The dispute is whether 94 times revenue and 266 times EBITDA is the right price to pay for that setup today, in a rising rate environment, with \$4.9 billion in GAAP losses, an AI segment burning \$30 billion per year in capex, and a CEO whose attention is spread across multiple major enterprises. The bear case does not require SpaceX to fail. It only requires the

market to decide that paying 94 times revenue for a company with these loss metrics is too rich when the risk-free rate is above 5%.

The index inclusion trade is the most concrete near-term catalyst. The Starlink growth trajectory is the most compelling long-term argument. The xAI segment is the biggest wildcard. Watch the first-day trading range closely. A strong open above \$150 signals institutional conviction. A fade below \$135 on day one means the deal was priced at the ceiling of demand, and the real test begins from there.

Convex Research Group — For informational purposes only. Not investment advice. All data sourced from SpaceX S-1 filing, NAR, FRED, and public market data as of June 9, 2026.